transaction or a contested director election, given the heightened need for the proxy disclosures from a person contemplating such transformative transactions or contests.

Other statutes that often play an important and complementary role in furthering all aspects of the Commission's mission in the context of proxy voting and proxy solicitation include Sections 5, 11, and 12 of the Securities Act of 1933 (the "Securities Act"), in particular in circumstances where the vote being solicited is in connection with a significant transaction, such as a merger, in which new securities may be issued to the shareholders who are voting on the transaction. In such a situation, both the registration and prospectus requirements of Securities Act Section 5 and the proxy solicitation requirements of Exchange Act Section 14(a) apply, with public companies often filing a joint proxy statement/prospectus to fulfill both statutory obligations.

This framework—complementary and overlapping statutes and rules that are based on principles, facts and circumstances, and each participant's actions as well as status—applies similarly in other key areas of the Commission's mandate, including the offer and sale of securities in both the public and private markets, securities trading, and the provision of investment advice to retail and institutional investors. Moreover, this framework is consistent with Congressional intent as reflected in the enactment of the Securities Act, the Exchange Act, the Advisers Act, and various other key statutes, including Section 14(a), and has proven to be an effective and efficient means to regulate an important, multi-faceted and ever-evolving aspect of commerce. Accordingly, given the importance of a properly functioning proxy system to investors and the capital markets, even if other provisions of the federal securities laws may apply to certain of their activities, it is appropriate for voting advice furnished by proxy voting advice businesses to be subject to the rules under Section 14(a), which are designed specifically to

enhance the transparency and integrity of the proxy voting process, with the ultimate aim of facilitating informed voting decisions.[60]

II. DISCUSSION OF FINAL AMENDMENTS

A. Codification of the Commission's Interpretation of "Solicitation" Under Rule 14a-1(l) and Section 14(a)

Exchange Act Section 14(a)[61] makes it unlawful for any person to "solicit" any proxy with respect to any security registered under Exchange Act Section 12 in contravention of such rules and regulations prescribed by the Commission.[62] The purpose of Section 14(a) is to prevent "deceptive or inadequate disclosure" from being made to shareholders in a proxy solicitation.[63] Section 14(a) grants the Commission broad authority to establish rules and regulations to govern proxy solicitations "as necessary or appropriate in the public interest or for the protection of investors."[64]

The Exchange Act does not define what constitutes a "solicitation" for purposes of Section 14(a) and the Commission's proxy rules. Accordingly, the Commission has exercised its rulemaking authority over the years to define what communications are solicitations and to prescribe rules and regulations when necessary and appropriate in the public interest and to protect

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[60] *See* Proposing Release at 66520.

[61] 15 U.S.C. 78n(a).

[62] Registrants only reporting pursuant to Exchange Act Section 15(d) are not subject to the federal proxy rules, while foreign private issuers are exempt from the requirements of Section 14(a). 17 CFR 240.3a12-3(b).

[63] *Borak*, 377 U.S. at 432; s*ee* S. Rep. No. 1455, 73d Cong., 2d Sess., 74 (1934) ("In order that the stockholder may have adequate knowledge as to the manner in which his interests are being served, it is essential that he be enlightened not only as to the financial condition of the corporation, but also as to the major questions of policy, which are decided at stockholders' meetings."); Communications Among Shareholders Adopting Release at 48277.

[64] 15 U.S.C. 78n(a)*; see Borak*, 377 U.S. at 432 (noting the "broad remedial purposes" evidenced by the language of Section 14(a)).

investors in the proxy voting process.[65] The Commission first promulgated rules in 1935 to define a solicitation to include any request for a proxy, consent, or authorization or the furnishing of a proxy, consent, or authorization to security holders.[66] Since then, the Commission has amended the definition as needed to respond to new and changing market practices that have raised the concerns underlying Section 14(a).[67]

In particular, the Commission expanded the definition of a solicitation in 1956 to include not only requests for proxies, but also any "communication to security holders under circumstances reasonably calculated to result in the procurement, execution, or revocation of a proxy."[68] This expanded definition was prompted by recognition that some market participants were distributing written communications designed to affect shareholders' voting decisions well in advance of any formal request for a proxy that would have triggered the filing and information requirements of the federal proxy rules.[69]

Since 1956, the Commission has recognized that its definition of a solicitation was broad and applicable regardless of whether persons communicating with shareholders were seeking proxy authority for themselves.[70] In light of the breadth of this definition, the Commission

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[65] *See* 15 U.S.C. 78n(a); 78c(b); 78w.

[66] *See Order Execution Obligations*, Release No. 34-378 (Sept. 24, 1935) 1935 WL 29270.

[67] The Commission revised the definition in 1938 to include any request for a proxy, regardless of whether the request is accompanied by or included in a written form of proxy. *See* Release No. 34-1823 (Aug. 11, 1938) [3 FR 1991 (Aug. 13, 1938)], at 1992. It subsequently revised the definition in 1942 to include "any request to revoke or not execute a proxy." *See* Release No. 34-3347 (Dec. 18, 1942) [7 FR 10653 (Dec. 22, 1942)], at 10656. Courts have also taken a broad view of solicitation. *See infra* notes 141-146 and accompanying text.

[68] 17 CFR 240.14a-1(l)(1)(iii); *see Adoption of Amendments to Proxy Rules*, Release No. 34-5276 (Jan. 17, 1956) [21 FR 577 (Jan. 26, 1956)], at 577; *see also Broker-Dealer Participation in Proxy Solicitations*, Release No. 34-7208 (Jan. 7, 1964) [29 FR 341 (Jan. 15, 1964)] ("Broker-Dealer Release"), at 341 ("Section 14 and the proxy rules apply to any person—not just management, or the opposition. This coverage is necessary in order to assure that all materials specifically directed to stockholders and which are related to, and influence their voting will meet the standards of the rules.").

[69] *See generally* Communications Among Shareholders Adopting Release.

[70] *Id.* at 48276 (adopting Exchange Act Rule 14a-2(b)(1)).

adopted an exemption from the information and filing requirements of the Federal proxy rules for communications by persons not seeking proxy authority, but continued to include such communications within the definition of a "solicitation."[71] The Commission also adopted another exemption from the information and filing requirements for proxy voting advice given by advisors to their clients under certain circumstances, but likewise continued to include such advice within the definition of "solicitation," subject to an exception discussed below.[72] By adopting these tailored exemptions, the Commission removed certain filing and other requirements that were considered unnecessary for such solicitations in order to facilitate shareholder access to more sources of information when voting, though the antifraud provisions of the proxy rules continued to apply.

The Commission has previously observed that the definition of a solicitation for purposes of Section 14(a) may result in proxy voting advice businesses being subject to the Federal proxy rules because they provide recommendations that are reasonably calculated to result in the procurement, withholding, or revocation of a proxy and thus, as a general matter, the furnishing of proxy voting advice constitutes a solicitation.[73] In 2019, the Commission issued an interpretative release regarding the application of the Federal proxy rules to proxy voting advice.[74] As the Commission explained in that release, the determination of whether a communication is a solicitation for purposes of Section 14(a) depends upon both the specific nature, content, and

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[71] *See id.*

[72] *See Shareholder Communications, Shareholder Participation in Corporate Electoral Process and Corporate Governance Generally*, Release No. 34-16356 (Nov. 21, 1979) [44 FR 68764 (Nov. 29, 1979)] ("1979 Adopting Release"), at 68766.

[73] *See* Concept Release at 43009. *See also* Proposing Release at 66522; Broker-Dealer Release at 341.

[74] *Commission Interpretation and Guidance Regarding the Applicability of the Proxy Rules to Proxy Voting Advice*, Release No. 34-86721 (Aug. 21, 2019) [84 FR 47416 (Sept. 10, 2019)] ("Commission Interpretation on Proxy Voting Advice").

timing of the communication and the circumstances under which the communication is transmitted.[75] The Commission noted several factors that indicate proxy voting advice businesses generally engage in solicitations when they provide proxy voting advice to their clients, including:

- The proxy voting advice generally describes the specific proposals that will be presented at the registrant's upcoming meeting and presents a "vote recommendation" for each proposal that indicates how the client should vote;
- Proxy voting advice businesses market their expertise in researching and analyzing matters that are subject to a proxy vote for the purpose of assisting their clients in making voting decisions;
- Many clients of proxy voting advice businesses retain and pay a fee to these firms to provide detailed analyses of various issues, including advice regarding how the clients should vote through their proxies on the proposals to be considered at the registrant's upcoming meeting or on matters for which shareholder approval is sought; and
- Proxy voting advice businesses typically provide their recommendations shortly before a shareholder meeting or authorization vote,[76] enhancing the likelihood that their recommendations will influence their clients' voting determinations.[77]

The Commission observed that where these or other significant factors (or a significant subset of

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[75] *See* Commission Interpretation on Proxy Voting Advice at 47417. *See also* Proposing Release at 66522; Concept Release at 43009 n.244.

[76] *See, e.g.*, letter from Maria Ghazal, Senior Vice President and Counsel, Business Roundtable (June 3, 2019) at 9 ("[R]ecent survey results support the contention that a spike in voting follows adverse voting recommendations by ISS during the three-business day period immediately after the release of the recommendation."); Transcript of Roundtable on the Proxy Process, at 242 (Nov. 15, 2018), *available at* https://www.sec.gov/files/proxy-round-table-transcript-111518.pdf; Frank Placenti, *Are Proxy Advisors Really A Problem?*, AMERICAN COUNCIL FOR CAPITAL FORMATION 3 (Oct. 2018), http://accfcorpgov.org/wp-content/uploads/2018/10/ACCF_ProxyProblemReport_FINAL.pdf.

[77] Commission Interpretation on Proxy Voting Advice at 47418. *See also* Proposing Release at 66522.

these or other factors) are present,[78] the proxy voting advice businesses' voting advice generally would constitute a solicitation subject to the Commission's proxy rules because such advice would be "a communication to security holders under circumstances reasonably calculated to result in the procurement, withholding or revocation of a proxy."[79] Furthermore, the Commission explained that such advice generally would be a solicitation even if the proxy voting advice business is providing recommendations based on the client's own custom policies, and even if the client chooses not to follow the advice.[80] In addition, the fact that proxy voting advice businesses may provide additional services, such as consulting services to investment advisers and issuers and general market commentary, does not diminish their role in the proxy solicitation process.

1. Proposed Amendments

In the Proposing Release, the Commission proposed to amend 17 CFR 240.14a-1(l)(1)(iii) ("Rule 14a-1(l)(1)(iii)") to add paragraph (A) to make clear that the terms "solicit" and "solicitation" include any proxy voting advice that makes a recommendation to a shareholder as to its vote, consent, or authorization on a specific matter for which shareholder approval is solicited, and that is furnished by a person who markets its expertise as a provider of such advice, separately from other forms of investment advice, and sells such advice for a fee.[81] The proposed amendment would codify the long-held Commission view that the furnishing of proxy voting advice generally constitutes a solicitation governed by the federal proxy rules.

In connection with the proposed amendment to Rule 14a-1(l)(1)(iii), the Commission recognized that the major proxy voting advice businesses may use more than one voting policy or

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[78] Such other factors may include the fact that many proxy voting advice businesses' recommendations are typically distributed broadly.

[79] *See* Commission Interpretation on Proxy Voting Advice at 47418. *See also* Proposing Release at 66522.

[80] *See* Commission Interpretation on Proxy Voting Advice at 47418. *See also* Proposing Release at 66522.

[81] Proposing Release at 66522, 66557.

set of guidelines in formulating their voting recommendations on a particular matter to be voted at a shareholder meeting (or for which written consents or authorizations are sought in lieu of a meeting). For example, a proxy voting advice business may offer differing voting recommendations on a matter based on the application of its benchmark policy or various specialty policies. Under the proposal, the voting recommendations formulated under the benchmark policy and each of the specialty policies would be considered to be a separate communication of proxy voting advice under proposed Rule 14a-1(l)(1)(iii)(A). In addition to voting recommendations formulated pursuant to a proxy voting advice business's benchmark and specialty policies, the Commission also proposed to include voting recommendations formulated pursuant to a proxy voting advice business's client's own custom policies within the scope of the term "solicitation," consistent with its prior interpretation.[82]

Lastly, the Commission proposed to amend Rule 14a-1(l)(2), which currently lists activities and communications that do not constitute a solicitation, to add paragraph (v) to make clear that the terms "solicit" and "solicitation" exclude any proxy voting advice furnished by a person who furnishes such advice only in response to an unprompted request.[83] Doing so would codify the Commission's historical view that such a communication should not be regarded as a solicitation subject to the proxy rules.[84]

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[82] Proposing Release at 66522.

[83] *Id.* at 66523, 66557.

[84] Commission Interpretation on Proxy Voting Advice at 47419 ("We view these services provided by proxy advisory firms as distinct from advice prompted by unsolicited inquiries from clients to their financial advisors or brokers on how they should vote their proxies, which remains outside the definition of solicitation."); 1979 Adopting Release at 68766. *See also* Broker-Dealer Release at 341 (setting forth the opinion of the SEC's General Counsel that a broker is not engaging in a "solicitation" if it is merely responding to his customer's request for advice and "not actively initiating the communication").

2. Comments Received

Commenters expressed a mix of views on the Commission's proposed amendments to the definitions of "solicit" and "solicitation" in 17 CFR 240.14a-1(l)(1) ("Rule 14a-1(l)(1)"). A number of commenters supported codifying the Commission's interpretation of those definitions as proposed.[85] Some of these commenters described the proposed amendments as consistent with the Commission's existing interpretation of the term "solicitation"[86] and noted that the advice provided by proxy voting advice businesses is the kind of information that Congress intended Section 14(a) to address.[87] Two commenters agreed with the Commission's position that the definition of "solicitation" should not be limited to a request to obtain proxy authority or to obtain shareholder support for a preferred outcome.[88] Those two commenters also agreed with the Commission's view that each voting recommendation formulated pursuant to a benchmark policy or a specialty policy should be considered a separate "solicitation."[89] Other commenters added that the analysis of what constitutes a "solicitation" should not turn on whether the proxy voting advice business's voting recommendations are based on an investor's custom policy or the proxy voting advice business's benchmark policy.[90] Finally, a few commenters that supported the proposed amendments recommended that the Commission include in the definition of

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[85] *See* letters from BIO; BRT; CCMC; CEC; CGC; Michael McCormick, Executive Vice President, General Counsel Secretary, Ecolab Inc. (Feb. 3, 2020) ("Ecolab"); Exxon Mobil; Dennis E. Nixon, President, International Bancshares Corporation (Jan. 23, 2020) ("IBC"); NAM; Nareit; Nasdaq; David Dixon, President, and David L. Dragics, Advocacy Ambassador, NIRI Capital Area Chapter (Feb. 6, 2020) ("NIRI-Capital"); Phil Gramm (Feb. 3, 2020) ("P. Gramm"); Niels Holch, Executive Director, Shareholder Communications Coalition (Feb. 3, 2020) ("SCC I"); SCG; Stakeholders Empowerment Service (Jan. 31, 2020) ("SES").

[86] *See* letters from BRT; CCMC; NAM; Nasdaq; NIRI-Capital.

[87] *See* letters from BRT; CCMC; Exxon Mobil; NAM; Nareit; SCC I.

[88] *See* letters from NAM; SCG.

[89] *See* letters from NAM; SCG.

[90] *See* letters from Exxon Mobil; NAM; SCG.

"solicitation" any reports and ratings by environmental, social, and governance ratings firms or environmental and sustainability rating firms.[91]

Other commenters opposed codifying the Commission's interpretation of "solicit" and "solicitation."[92] Some commenters asserted that the Commission does not have the authority to regulate proxy voting advice businesses under Section 14(a)[93] or other provisions of the Exchange Act.[94] Some described the proposal as inconsistent with the Commission's historical treatment of Section 14(a).[95] Some commenters added that proxy voting advice differs from proxy solicitation

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[91] *See* letters from Exxon Mobil; Garmin; NAM.

[92] *See* letters from Anat Admati, George G.C. Parker Professor of Finance and Economics, Stanford Graduate School of Business, et al. (Jan. 15, 2020) ("62 Professors"); Brandon Rees, Deputy Director, Corporations at Capital Markets, AFL-CIO (Feb. 3, 2020) ("AFL-CIO II"); Robert Arnold and Matthew Aquiline, Trustees, Bricklayers & Trowel Trades International Pension Fund (Jan. 31, 2020) ("Bricklayers"); Marcie Frost, Chief Executive Officer, CalPERS (Feb. 3, 2020) ("CalPERS"); Aeisha Mastagni, Portfolio Manager, California State Teachers' Retirement System (Feb. 3, 2020) ("CalSTRS"); Marcia Moffat, Board Chair, Canadian Coalition for Good Governance (Feb. 3, 2020) ("Canadian Governance Coalition"); James Allen, Head, and Matt Orsagh, Senior Director, Capital Markets Policy, CFA Institute (Feb. 3, 2020) ("CFA Institute I"); Kenneth A. Bertsch, Executive Director, and Jeffrey P. Mahoney, General Counsel, Council of Institutional Investors (Jan. 30, 2020) ("CII IV"); Rob Collins, Council for Investor Rights and Corporate Accountability (Feb. 3, 2020) ("CIRCA"); Ron Baker, Executive Director, Colorado Public Employees' Retirement Association (Feb. 3, 2020) ("Colorado Retirement"); Duane Roberts, Director of Equities, Dana Investment Advisors (Dec. 5, 2019) ("Dana"); Richard B. Zabel, General Counsel and Chief Legal Officer, Elliott Management Corporation (Jan. 31, 2020) ("Elliott I"); Hans-Christoph Hirt, Executive Director and Head, Hermes Equity Ownership Services Limited (Feb. 3, 2020) ("Hermes"); ISS, Josh Zinner, CEO, Interfait Center on Corporate Responsibility (Feb. 3, 2020) ("Interfaith Center II"); Kevin Cameron, Executive Chair, Glass Lewis (Feb. 3, 2020) ("Glass Lewis II"); Jonathan Grabel, Chief Investment Officer, LACERA (Feb. 3, 2020) ("LA Retirement"), Sarah Wilson, CEO, Minerva Analytics (Jan. 2, 2020) ("Minerva I"); Thomas P. DiNapoli, New York State Comptroller (Feb. 3, 2020) ("New York Comptroller II"); Karen Carraher, Executive Director, and Patti Brammer, Corporate Governance Officer, Ohio Public Employees Retirement System (Feb. 3, 2020) ("Ohio Public Retirement"); PIRC, on behalf of Local Authority Pension Fund Form (LAPFF) (Feb. 3, 2020) ("PIRC"); Fiona Reynolds, Chief Executive Officer, Principles for Responsible Investment (Feb. 3, 2020) ("PRI II"); Konstantinos Sergakis, Professor of Capital Markets Law and Corporate Governance, University of Glasgow (Dec. 26, 2019) ("Prof. Sergakis"); Craig M. Rosenberg, President, ProxyVote Plus, LLC (Feb. 3, 2020) ("ProxyVote II"); Hank Kim, Executive Director & Counsel, National Conference of Public Employee Retirement Systems (Feb. 3, 2020) ("Public Retirement Systems"); Maureen O'Brien, Vice President, Corporate Governance Director, Segal Margo Advisors (Feb. 3, 2020) ("Segal Marco II"); Andrew E. Oster, CFP, AIF, President & CCO, Triton Wealth Advisors LLC (Feb. 22, 2020) ("Triton"); Nell Minow, Vice Chair, ValueEdge (Jan. 31, 2020) ("ValueEdge I"); Theresa Whitmarsh, Executive Director, Washington State Investment Board (Jan. 22, 2020) ("Washington State Investment").

[93] *See* letters from AFL-CIO II; CII IV; Elliott I; Glass Lewis II; ISS; Richard A. Kirby and Beth-ann Roth, RK Invest Law, PBC (Feb. 3, 2020) ("RK Invest Law"); ProxyVote II.

[94] *See* letter from ISS.

[95] *See* letters from CalPERS; CII IV; Elliott I; Glass Lewis II; ISS; ProxyVote II.

and should not be treated as such under the proxy rules.[96] Specifically, these commenters asserted that proxy solicitation differs from proxy advice in that proxy solicitors play an advocacy role on behalf of an interested party, whereas proxy voting advice businesses are independent third parties, hired by shareholders to provide objective advice that the recipients are not required to follow.[97] One commenter also asserted that the proposal incorrectly equates proxy voting advice with the right to vote on another's behalf and in a manner that would benefit a particular party.[98] Two other commenters, which were identified as proxy voting advice businesses in the Proposing Release,[99] asserted that even if the Commission amends the definition of "solicitation" as proposed, their activities will not constitute "solicitations" under the revised definition because they vote on behalf of their clients rather than providing them with research reports and voting recommendations.[100]

In addition, some commenters stated that the proposed codification of "solicitation" would increase proxy voting advice businesses' costs[101] or interfere with their ability to provide services to their clients.[102] Specifically, these commenters asserted that the proposed amendments would

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[96] *See* letters from Bricklayers; CalPERS; CII IV; CIRCA; Elliott I; Glass Lewis II; ISS; New York Comptroller II; Segal Marco II.

[97] *See* letters from Bricklayers; CII IV; CIRCA; Glass Lewis II; ISS; New York Comptroller II; Segal Marco II.

[98] *See* letter from CalPERS.

[99] *See* Proposing Release at 66542, n.190.

[100] *See* letters from ProxyVote II; Segal Marco II. Similarly, another commenter noted that it executes votes directly on behalf of—but does not provide voting recommendations to—its clients. *See* letter from Mary Beth Gallagher, Executive Director, Investor Advocates for Social Justice (Feb. 3, 2020) ("IASJ"). *See also* letters from Sean P. Bannon, Chief Financial Officer, Felician Sisters of North America (Feb. 3, 2020) ("Felician Sisters II"); Toni Palamar, Province Business Administrator, Sisters of the Good Shepherd (Feb. 3, 2020) ("Good Shepherd"); Interfaith Center II; Patricia A. Daly, Corporate Responsibility Representative, Sisters of St. Dominic of Caldwell (Feb. 3, 2020) ("St. Dominic of Caldwell").

[101] *See* letters from 62 Professors; CalSTRS; Elliott I; Interfaith Center II; New York Comptroller II; Public Retirement Systems; Washington State Investment.

[102] *See* letters from CalSTRS; CIRCA; Elliott I; Interfaith Center II; New York Comptroller II; Ohio Public Retirement; Prof. Sergakis; Public Retirement Systems.